

## Article

# Building and Managing Great Teams: an Evidence-Based Approach

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## ABSTRACT

Efforts to initiate new startups rely heavily on teams and networks. Research demonstrates that 95 percent of the individuals trying to start a business involved others in helping build the new business. This article provides an overview of the team performance literature that can be used when making managerial decisions about building and managing successful entrepreneurial teams. I integrate and review prior research in three areas that have been disconnected previously: 1) innovation networks and teams; 2) team boundary spanning and internal processes; and 3) shared ownership and team motivation. The integration and review in this article provide new insights towards an evidence-based approach on managing entrepreneurial teams.

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## INTRODUCTION: THE IMPORTANCE OF AN EVIDENCE-BASED APPROACH TO MANAGING ENTREPRENEURIAL TEAMS

**B**UILDING AND MANAGING a great team is extremely important for any startup because teams play a key role in understanding and executing the founder's vision. A quote here is appropriate to consider when building and growing biotechnology companies which are knowledge-based organizations. "Your most precious possession is not your financial assets. Your most precious possession is the people you have working there, and what they carry around in their heads, and their ability to work together" — attributed to Robert Reich, former Secretary of Labor in the Clinton administration and now a professor at the University of California, Berkeley. Data shows us that 60% of new ventures fail due to problems with the team.<sup>1</sup>

The goal of this article is to provide an overview of the team performance literature that can be used when making managerial decisions about building and managing successful entrepreneurial teams. Understanding the current research about team building and performance is particularly important as a component of an evidence-based approach to managing teams. Evidence-based management improves managerial decisions by disciplined application of the most relevant scientific evidence.<sup>2</sup> When managers use an evidence-based approach, they make their decisions based on the explicit and careful use of four

sources of information: (1) the best available scientific evidence; (2) the best available company evidence; (3) the best available experiences and intuitions they and their advisors have; (4) the concerns of the stakeholders. This approach enables managers to make better decisions in the current volatile and complex business environment.<sup>3</sup>

To provide new insights about scientific evidence on managing entrepreneurial teams, I have integrated prior research in three areas that have been disconnected previously. These three areas are 1) innovation networks and teams; 2) team boundary spanning and internal processes; and, 3) shared ownership and team motivation. I based my overview and integration on the input-process-output model of strategic entrepreneurship.<sup>4</sup> Hitt, Ireland, Sirmon, & Trahms (2011) developed a theory that explains and predicts value creation in entrepreneurial firms. They elaborated on how the team inputs in terms of team composition and team structure affect the team outputs, e.g., value creation, and argue that understanding the inputs is not sufficient. They emphasize the importance of understanding the team external and internal processes as well as the team context. Consistent with this model, in a recent meta-analysis of research on entrepreneurial teams, Jin, Madison, Kraiczy, Kellermanns, Crook & Xi (2017) demonstrate that the characteristics of the entrepreneurial team in terms of team diversity, team size, etc. represent important predictors of team effectiveness.<sup>5</sup>

The team processes that transfer the team inputs into new value, termed "resource orchestration processes",

often determine whether an entrepreneurial firm will be successful in its value creation efforts.<sup>6</sup> In a recent study of the social interactions in entrepreneurial teams, Chen Chang and Chang (2017) demonstrate that the internal team processes in terms of conflict, shared cognition, and team cohesion, impact new venture performance.<sup>7</sup> Focusing on these and other processes, I first provide an overview on research on specific internal processes that are at the core of “resource orchestration”. Furthermore, I consider the role of boundary spanning activities in teams, i.e., the role of interactions of team members with agents who are external to the team such as other teams or stakeholders.

In addition to managing team processes, successful managers also understand and apply key team-related motivational factors that lead to increased innovation throughput and capital efficiency in entrepreneurial firms. These factors help bring innovations to market. The role of team motivation through “employee ownership”, both psychological and financial, has been the focus of recent research on team motivation and entrepreneurial teams. In this article, I elaborate on other scientific evidence on key aspects of team motivation in successful entrepreneurial teams.

The context in which a team operates impacts key characteristics of its internal processes, its boundary spanning activities, as well as the team motivation, and consequently it influences the value creation potential of the team.<sup>8</sup> Innovation networks represent important characteristics of the context in which the entrepreneurial teams operate and they influence the internal team processes of resource orchestration. I considered the scientific evidence on open-innovation network models to identify the contextual factors that drive value creation, and conceptualized the entrepreneurial organization as a team to enrich the understanding of how an entrepreneurial organization creates value.

## TEAM BOUNDARY SPANNING ACTIVITIES AND INTERNAL PROCESSES

Teams develop distinct strategies in their interactions with external agents: some specialize in particular activities, some remain isolated from the external environment, and others engage in multiple external activities. These points are illustrated in a seminal research paper by Ancona and Caldwell (1992). The scholars provide evidence that different external processes or “boundary spanning activities” require different internal processes and have different effects on performance.<sup>9</sup> Furthermore,

Ancona & Bresman (2006) argue that the external activities of teams gain in importance, and also investigate the idea flow between a team and its external agents.<sup>10</sup> Zott & Amit (2007) investigate business models of entrepreneurial firms in terms of boundary spanning interactions and their effects on the performance of entrepreneurial firms.<sup>11</sup> In an influential review of research on boundary spanning activities, Joshi, Pandi, & Guohong (2009) conclude that the important predictors of boundary spanning activities are team composition, the contextual characteristics, i.e. uncertainty, and the task-based factors such as task interdependence and team development stage.<sup>12</sup>

An influential meta-analysis of team level predictors of innovation shows that team process variables have the strongest effect on product innovation.<sup>13</sup> A recent updated meta-analysis of predictors of product innovation supports these findings and provides new insights.<sup>14</sup> These results provide evidence that team motivation and external communication processes displayed the strongest positive relationship to innovation and creativity. From the boundary spanning activities, external communication had the strongest positive effect on product innovation.

Leadership plays an important role in predicting team innovation, and it is an especially powerful predictor of performance in intellectually diverse teams. In particular, shared leadership holds the promise of enhancing team motivation and improving internal team processes. A recent meta-analysis of shared leadership demonstrated that shared leadership improves team performance, as well as team processes.<sup>15</sup> Furthermore, Zhou, Vredenburg, & Rogoff, (2015) provided empirical evidence that shared leadership enhances team performance in entrepreneurial teams with high information diversity because enables diverse teams to benefit from the differences in their expertise and knowledge.<sup>16</sup>

## SHARED OWNERSHIP AND TEAM MOTIVATION

Research on the knowledge exchange between firms suggests that commitment-based human resource practices represent an essential managerial tool for fostering boundary-spanning activities.<sup>17</sup> One of the commitment-based human resource practices is the compensation practice such as employee ownership that focuses employee motivation on group goals and on the organizational performance indicators. Employee ownership may also be related to psychological ownership, which has been shown to enhance citizenship behaviors and firm performance.<sup>18</sup> Employee ownership represents a key motivational tool in organizations.<sup>19</sup> Research shows

that the economic and social employee-organization relationship influences psychological ownership, which in turn influences performance.<sup>20</sup>

Shore & Singh (2009) identify the need to study how employees perceive employee ownership and whether their ownership perception is a significant factor that affects the performance outcomes of employee ownership practices.<sup>21</sup> Furthermore, Gong & Chang (2008) establish a positive relationship between HR practices such as pay contingent on performance, participation in decision-making, and employment security, which are all related to shared capitalism, and organizational citizenship.<sup>22</sup> A recent empirical study provides evidence on the impact of skill-enhancing, motivation-enhancing, and opportunity-enhancing bundles of human resource practices on innovation and organizational performance.<sup>23</sup>

An influential study on employee ownership and firm performance shows that the alignment of internal processes and goals represents a key factor for success in Life Science industries.<sup>24</sup> I extend the research to consider in-depth the effects of employee ownership on teamwork in entrepreneurial organizations. I argue that contextual factors may explain when the relationship between employee ownership and performance is more positive. It is clear that both the internal and external processes will provide a better understanding of how and why employee ownership can enhance innovation in early-stage firms nested in open-innovation networks.

## **INNOVATION NETWORKS AND BOUNDARY SPANNING ACTIVITIES IN TEAMS**

For many business leaders – 85% according to recent Accenture study<sup>25</sup> – open innovation represents a key approach to innovation. Consequently, academic research has focused on the structure of open innovation networks and on managing innovation teams nested in open innovation networks. This research stream provides important evidence of how successful teams in open innovation networks collaborate with external partners. The entrepreneurial teams nested within open-innovation networks represent an interesting and unique setting because they are exposed to more ambiguity and uncertainty than innovation teams nested within mature and established organizations.

Open innovation networks influence the management of boundary-spanning resource flows in teams. Benefiting from open innovation networks increases the performance of entrepreneurial teams especially in startup companies. A recent review of research on open innovation networks emphasizes the importance

of understanding the internal and external processes of teams in open innovation networks.<sup>26</sup> For example, recent research shows that leaders who know how to encourage team members to search for ideas among the partners in the innovation network are more likely to enable their teams to benefit from innovation networks.<sup>27</sup>

Teams in open innovation networks engage in external processes of knowledge sourcing. Research on knowledge sourcing of firms in open innovation networks provides evidence that firms use different knowledge-sourcing strategies, namely minimal, supply-chain, technology-oriented, application-oriented, and full-scope sourcing.<sup>28</sup> Each strategy reflects the nature of external interactions. Also, each strategy comprises of a distinct mixture of internal processes that managers must enhance and proactively manage.

The shift towards external alliances for new product development in the pharmaceutical industry was discussed more than two decades ago by Whittaker & Bower (1994).<sup>29</sup> New organizational models such as networked organizations increase the importance of boundary spanning activities of teams as different firms in the networked organization carry out more and more activities efficiently in the value chain.

Nowadays scholars increasingly use the method of social network analysis to examine boundary spanning activities and unveil the role of the configurations of boundary spanners and other key actors in shaping team success.<sup>30</sup> Recent theories on innovation networks suggest that network research is largely focused on structure and outcome, but does not examine the crucial processes that take place between a firm or a team and its network partners. Dhanaraj & Parkhe (2006) suggest that a firm must actively manage its interactions with external agents in the network through managing knowledge flows, innovation, network stability and appropriability (an economic term regarding the environmental factors that govern an innovator's ability to capture profits generated by an innovation).<sup>31</sup> Building trust in the external partners, for example, represents an important managerial approach that facilitates boundary spanning activities and helps teams to benefit from innovation networks.<sup>32</sup>

## **CONCLUSIONS**

Ninety-five percent of individuals trying to start a business involved others in helping in some significant capacity.<sup>33</sup> This article provided insights for evidence-based team management based on an overview of scientific evidence on building and managing entrepreneurial teams. Based on the overview, I also suggested areas that require further thought and elucidation for those who are more “research-oriented” and are seeking new opportunities for research.

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